

Instant Result



Delayed Result

Trading provides with immediate results of whether we made profits or losses.

Growth in true value **demands a rise in quantity and quality of earnings, it won't reflect in the market in a few years.** Thus, we cannot expect instant results and must have patience and discipline in the process.

Short Term Mindset



Long Term Mindset

Traders operate with mindset of making profits in short period of time. They are essentially concerned with stock fluctuations in the next one month rather than the next 2-5 years.

Since true value takes time to increase or decrease. Investors operate with a mindset of generating returns in a few years rather than a few months.

Creates and Destroys Wealth Quickly



Creates and Destroys Wealth Slowly

Trading is a high-risk and high-return activity. Traders can take additional risks to generate capital which can instantly create or even destroy wealth. If the stocks are correctly selected then we will get short-term profits. On the contrary, wrong decisions can lead to losses immediately as well.

Investing is a relatively low-risk low-return activity. Investing creates and destroys wealth at a relatively slower pace.

High Greed and Fear

The financial business is characterized by a mix of greed and fear. The stock market be it investing or trading are no different to this.